

 Masterclass Day 24

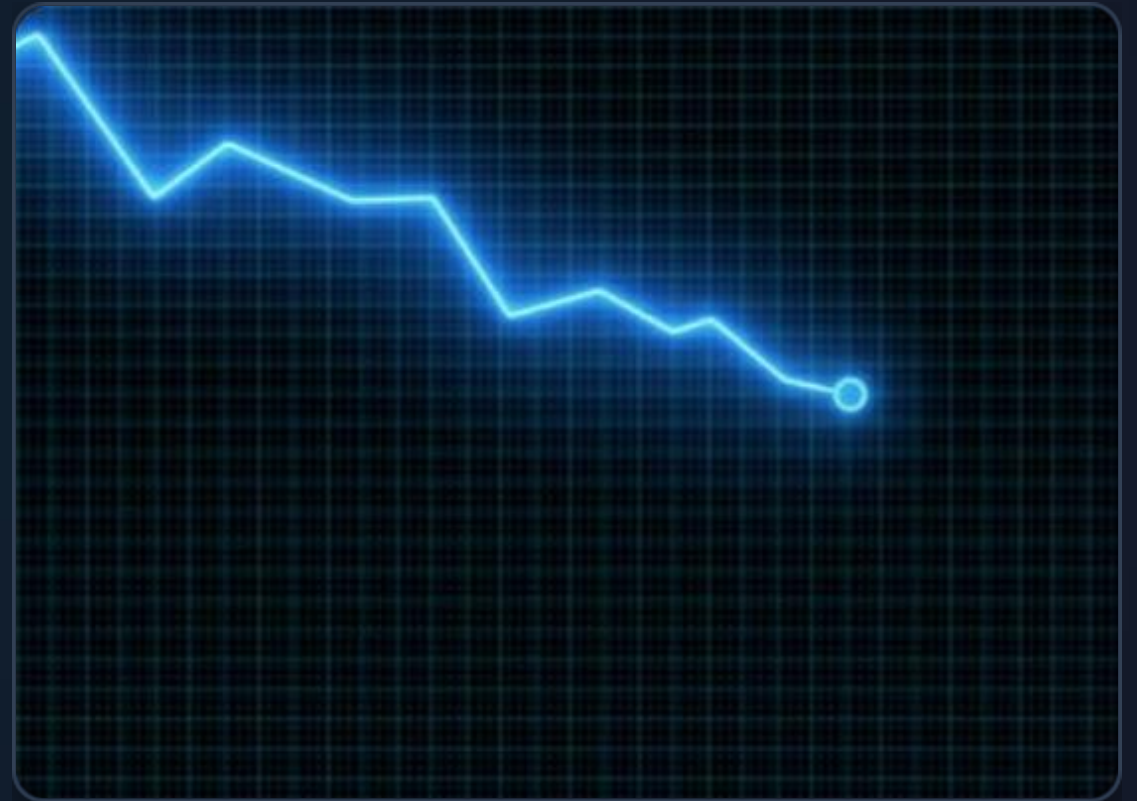
Technical Indicators

Mathematical compasses for traders: Unveiling trends, momentum, and market volatility.

Smoothing the Noise: **Moving Averages (SMA & EMA)**

A Moving Average (MA) filters out short-term price "noise" to reveal the true underlying trend direction.

- » **Simple Moving Average (SMA):** Gives equal weight to all past prices over a specified period (e.g., 50-day or 200-day).
- » **Exponential Moving Average (EMA):** Gives higher weight to recent prices, making it react faster to new momentum shifts.
- » **Golden & Death Crosses:** When the 50-day MA crosses above or below the 200-day MA, massive macro trends trigger.



Measuring Momentum: **Relative Strength Index (RSI)**



Overbought & Oversold Zones

The RSI is a momentum oscillator that measures the speed and change of price movements on a scale from 0 to 100.

- » **Overbought (> 70):** The asset has risen too fast; a pullback or correction could be imminent.
- » **Oversold (< 30):** The asset has been aggressively sold off; a bounce or reversal might be near.
- » **Bullish / Bearish Divergences:** When price makes new highs but RSI makes lower highs, a powerful trend reversal warning flashes.

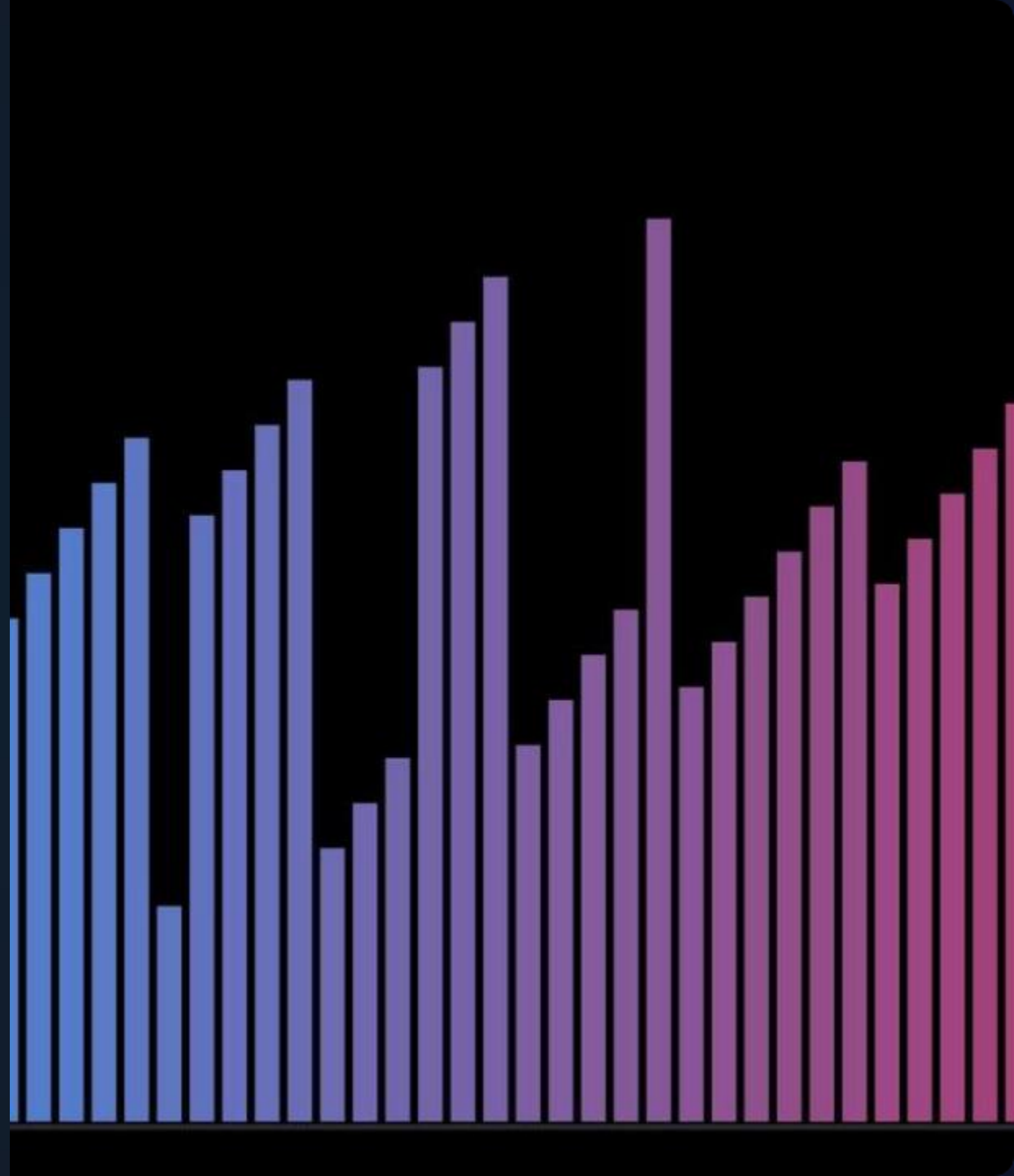
Trend Meets Momentum:

MACD

MACD (Moving Average Convergence Divergence) is a trend-following momentum indicator that shows the relationship between two moving averages.

The Signal Line Crossover: When the MACD line crosses above the signal line, it generates a bullish buy signal. Crossing below generates a bearish sell signal.

The Histogram: Visualizes the distance between the two lines, signaling accelerating or decelerating market momentum instantly!



Tracking Volatility: **Bollinger Bands**

The Upper & Lower Band

Developed by John Bollinger, this indicator consists of a middle SMA line with an upper and lower band set standard deviations apart.

When markets become wild and volatile, the bands widen. When markets go quiet, the bands contract into a tight "squeeze".

The Squeeze Breakout

A Bollinger Band Squeeze is a classic trader's alert.

When the bands squeeze tightly together, it proves volatility is at a minimum. Whichever direction price aggressively breaks out of the bands usually initiates a strong trend move!

The Institutional Benchmark: VWAP

Volume Weighted Average Price (VWAP) represents the true average price a stock has traded at throughout the day, weighted by volume.

- » **Institutional Favorite:** Large mutual funds and institutional desks use VWAP to execute massive orders without moving the market price against themselves.
- » **Intraday Bias:** If price is trading above VWAP, buyers are in control (Bullish). If price is below VWAP, sellers dominate (Bearish).
- » **Dynamic Support/Resistance:** VWAP often acts as an invisible magnet or bounce level during intraday trading.



Great Job on Day 24!

Tomorrow: Day 25 - Risk Management.

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